

Question Number : 263 Question Id : 640653995350 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Below statement is respect to qualitative research. Please indicate true / false for each statement

Group discussions are the best technique for exploratory research

Options :

6406533360366. ✓ TRUE

6406533360367. ✗ FALSE

Corporate Finance

Section Id :	64065369397
Section Number :	13
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	26
Number of Questions to be attempted :	26
Section Marks :	100
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653146757
Question Shuffling Allowed :	No

Question Number : 264 Question Id : 640653995351 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : CORPORATE FINANCE (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE [TOP](#) FOR THE SUBJECTS

REGISTERED BY YOU)

Options :

6406533360368. ✓ YES

6406533360369. ✗ NO

Sub-Section Number :

2

Sub-Section Id :

640653146758

Question Shuffling Allowed :

Yes

Question Number : 265 Question Id : 640653995352 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Consider a bond which pays 500 units in 5 years and 1000 units in 10 years. What is the maturity and duration of the bond, respectively?

Options :

6406533360370. ✗ 10 years, 10 years

6406533360371. ✗ 5 years, 5 years

6406533360372. ✓ 10 years, 8.33 years

6406533360373. ✗ 5 years, 8.33 years

Question Number : 266 Question Id : 640653995353 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

The table below relates to the economy of Galaland, where the typical consumer's market basket consists of 2 clothes and 3 burgers.

Year	Price of a cloth	Price of a burger
2017	Rs 400	Rs 30
2018	Rs 300	Rs 50
2019	Rs 325	Rs 70

If the base year is 2017, then the economy's inflation rate (as measured by CPI) in 2018 is

Options :

6406533360374. ✓ -15.73%

6406533360375. ✗ -18.67%

6406533360376. ✗ 15.73%

6406533360377. ✗ 18.67%

Question Number : 267 Question Id : 640653995354 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Assume Shyam earns Rs. 10000 in period 1 and Rs 12000 in period 2. He spends his earnings on consumption in period 1 and period 2. The prices of consumption in period 1 and period 2 are the same (equal to 1). If prevailing interest rate is 10% then the slope of the intertemporal budget constraint is

Options :

6406533360378. ✖ 1.10

6406533360379. ✖ 0.91

6406533360380. ✖ -0.91

6406533360381. ✔ -1.10

Question Number : 268 Question Id : 640653995355 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

The current average price level of goods in the economy of Godzilla is 80 units. The prevailing nominal interest rate is 10%. If expected price level in the next period is 90 units, then the real interest rate in the economy is (approximately)

Options :

6406533360382. ✖ 8.89%

6406533360383. ✖ 12.5%

6406533360384. ✔ -2.5%

6406533360385. ✖ -1.11%

Question Number : 269 Question Id : 640653995356 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A company with a AAA bond rating will command a higher interest rate on its bonds than a company with lesser BBB bond rating.

Options :

6406533360386. ✖ True

6406533360387. ✔ False

Question Number : 270 Question Id : 640653995357 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Your portfolio consists of two blue bonds: each has a face value of 100 units and a probability of default $p_b = 20\%$. The blue bonds are perfectly correlated with each other ($\gamma = 1$). Through securitization, you are able to create two new bonds with face values: a senior bond and a junior bond. When none of the blue bond default both new bonds are paid face value of 100. If any one of the blue bond defaults, the senior bond is paid the face value of 100 while the junior bond suffers the loss and is paid 0. In case of both the blue bonds defaulting, none of the new bonds pay off. What is the probability that the senior bond results in default?

Options :

6406533360388. ✖ 25%

6406533360389. ✔ 20%

6406533360390. ✖ 16%

6406533360391. ✖ 4%

Question Number : 271 Question Id : 640653995358 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Your portfolio consists of two blue bonds: each has a face value of 100 units and a probability of default $p_b = 20\%$. The blue bonds are perfectly correlated with each other ($\gamma = 1$). Through securitization, you are able to create two new bonds with face values: a senior bond and a junior bond. When none of the blue bond default both new bonds are paid face value of 100. If any one of the blue bond defaults, the senior bond is paid the face value of 100 while the junior bond suffers the loss and is paid 0. In case of both the blue bonds defaulting, none of the new bonds pays off. What is the expected payoff of the junior bond?

Options :

6406533360392. ✖ 20 units

6406533360393. ✖ 64 units

6406533360394. ✔ 80 units

6406533360395. ✖ 96 units

Question Number : 272 Question Id : 640653995359 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A basis point is equal to

Options :

6406533360396. ✖ One percent
6406533360397. ✖ One-tenth of one percent
6406533360398. ✔ One-hundredth of one percent
6406533360399. ✖ One-half of one percent

Question Number : 273 Question Id : 640653995360 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the term for a graphical representation of the relationship between interest rates and the maturities of debt securities?

Options :

6406533360400. ✖ GDP growth
6406533360401. ✖ Maturity chart
6406533360402. ✔ Yield curve
6406533360403. ✖ Inflationary expectations

Question Number : 274 Question Id : 640653995361 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What should be the rate of interest per year so that your money triples in 15 years?

Options :

6406533360404. ✖ 5.42%
6406533360405. ✖ 12.50%
6406533360406. ✔ 7.60%
6406533360407. ✖ 20.00%

Question Number : 275 Question Id : 640653995362 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

An investment is expected to yield Rs 3000 in three years, Rs 5000 in 5 years, and Rs 7000 in seven years. What is the present value of this investment if the constant rate of interest is 10% annually? (Rounded off to the nearest integer)

Options :

6406533360408. ✖ Rs 15000
6406533360409. ✖ Rs 11598
6406533360410. ✖ Rs 10000
6406533360411. ✔ Rs 8951

Question Number : 276 Question Id : 640653995363 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

You have been depositing money at the end of each year into an account drawing 8% interest annually. What is the balance in the account at the end of year four if you deposited the following amounts? (Rounded off to the nearest integer)

Year	End of year deposit
1	Rs 35,000
2	Rs 50,000
3	Rs 72,500
4	Rs 40,000

Options :

6406533360412. ✖ Rs 162,209

6406533360413. ✖ Rs 189,467

6406533360414. ✔ Rs 220,710

6406533360415. ✖ Rs 268,754

Question Number : 277 Question Id : 640653995364 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Which of the following statements about bubbles is correct?

Options :

6406533360416. ✖ A bubble occurs when the fundamental value of a share rises too quickly.

6406533360417. ✖ A bubble is less likely to occur in a market where people can easily switch from buying to selling.

6406533360418. ✔ Momentum trading strategies make bubbles more likely to occur.

6406533360419. ✖ A bubble can never occur in financial markets as trades take place very frequently.

Question Number : 278 Question Id : 640653995365 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Suppose an asset earns an annual interest rate of 8% which is continuously compounded. If asset sells for 100 units today, what will be its value after 2 years?

Options :

6406533360420. ✖ 108.34

6406533360421. ✖ 116.64

6406533360422. ✔ 117.35

6406533360423. ✖ 121.65

Question Number : 279 Question Id : 640653995366 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the present value of a cash flow stream that pays Rs 3000 next year, grows at a rate of 3% per year thereafter and faces a cost of capital of 9% per year?

Options :

6406533360424. ✖ Rs 100,000

6406533360425. ✔ Rs 50,000

6406533360426. ✖ Rs 33,333

6406533360427. ✖ Rs 9,000

Question Number : 280 Question Id : 640653995367 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

You discover an antique in your attic that your father purchased 30 years ago for Rs 400. You auction it and receive Rs 80,000 for this item today. What is the annualized rate of return that you earned?

Options :

6406533360428. ✖ 6.67%

6406533360429. ✖ 11.67%

6406533360430. ✔ 19.32%

6406533360431. ✖ 26.54%

Question Number : 281 Question Id : 640653995368 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

You believe in the power of compounding and decide to save Rs 100 per day by avoiding the junk foods. You deposit the Rs 100 at the end of each day in a bank account that pays 8% annual interest compounded daily. How much money will you have in 5 years, assuming 365 days per years?

(use banking convention: daily interest rate = $r/365$) (Rounded off to the nearest integer)

Options :

6406533360432. ✖ Rs 182,500

6406533360433. ✖ Rs 214,131

6406533360434. ✔ Rs 224,365

6406533360435. ✖ Rs 254,689

Question Number : 282 Question Id : 640653995369 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

The LIC stock is trading at Rs 400 today. LIC is expected to pay dividend of Rs 30 per share next year. If the growth rate of LIC dividend is 4% every year and appropriate rate of return is 10% per year, then according to the Gordon growth model

Options :

6406533360436. ✔ The LIC stock is underpriced, and an investor should buy LIC shares.

6406533360437. ✖ The LIC stock is overpriced, and an investor should buy LIC shares.

6406533360438. ✖ The LIC stock is underpriced, and an investor should sell LIC shares.

6406533360439. ✖ The LIC stock is overpriced, and an investor should sell LIC shares.

Question Number : 283 Question Id : 640653995370 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Suppose an investment cost 5,000 today and pays off Rs 3,000 in the next year and Rs 4,000 in two years. What is the internal rate of return on this investment?

Options :

6406533360440. ✔ 24.34%

6406533360441. ✖ 40%

6406533360442. ✖ 33.33%

6406533360443. ✖ 18.56%

Question Number : 284 Question Id : 640653995371 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Which of the following statements is correct regarding internal rate of return (IRR)?

Options :

6406533360444. ✖ The internal rate of return can be computed for every type of project.

6406533360445. ✖ The internal rate of return can never be zero.

6406533360446. ✖ Every project has a unique internal rate of return.

6406533360447. ✔ The IRR capital budgeting rule may give different answer than the NPV capital budgeting rule.

Question Number : 285 Question Id : 640653995372 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

There is a project which requires an initial investment of 500 units today. This project pays off 500 units after 5 years, 500 units after 10 years and 500 units after 15 years. If the prevailing constant interest rate in the economy is 10% then what is the profitability index of the project?

Options :

6406533360448. ✖ 122.93

6406533360449. ✖ 3.56

6406533360450. ✔ 1.25

6406533360451. ✖ 0.80

Question Number : 286 Question Id : 640653995373 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Consider the following three projects which have initial cost of Rs 1000 today:

Project 1: It pays out Rs. 500 next year and Rs 1000 two years from today.

Project 2: It pays Rs. 100 starting next year and pays the same amount for 50 years.

Project 3: It pays Rs. 4000 five years from today. There are no interim payments.

Assume that the prevailing interest rate is 5%. Which project has the least payback period?

Options :

6406533360452. ✔ Project 1

6406533360453. ✖ Project 2

6406533360454. ✖ Project 3

6406533360455. ✖ All three projects have same payback period.

Question Number : 287 Question Id : 640653995374 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A project earns a total of 50% return in two years. If annual return in the first year is 30%, then what is the annual return in the second year? (Round off to nearest integer)

Options :

6406533360456. ✖ 30%

6406533360457. ✖ 25%

6406533360458. ✖ 20%

6406533360459. ✔ 15%

Question Number : 288 Question Id : 640653995375 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the annualized rate of return of an investment of 100 units that promises to return 200 units in 10 years?

Options :

6406533360460. ✖ 10%

6406533360461. ✔ 7.18%

6406533360462. ✖ 5.97%

6406533360463. ✖ 3.76%

Question Number : 289 Question Id : 640653995376 Question Type : MCQ